Giant Manufacturing (9921 TT)

Target price: **TWD121.00** (from TWD121.00)

Share price (9 Nov): **TWD91.40** | Up/downside: **+32.4%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 results review: missed on operating margin

- 3Q26 net profit missed our estimate and the consensus by 39-48%
- Better-than-expected recovery in Europe and China; a brighter 2027
- Reaffirming our Buy (1) rating with an unchanged 12M TP of TWD121

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What's new: Giant announced its 3Q26 results after market hours on 9 November 2026. We reaffirm our Buy (1) rating on its improving fundamentals and the recovery of the global bike market. We believe inventory destocking is coming to an end.

What's the impact: **3Q26 results: missed on operating margin.** Giant's 3Q26 revenue of TWD16.311bn (-2.1% QoQ, +6.2% YoY) was roughly in line with our estimate and the Bloomberg consensus. Its gross margin of 23.9% beat our estimate and the Bloomberg consensus by 2.9pp and 1.1pp, respectively, driven by product mix optimisation and new product launches in its own brand. However, its operating margin of 3.1% missed our estimate and the consensus by 1.4pp and 2.1pp, respectively, due to marketing activities for MY27 launches and legal fees related to the WRO. Thus, its 3Q26 operating profit of TWD510m (-49.0% QoQ, +28.9% YoY) missed our estimate and the consensus by 31.3% and 42.2%, respectively. Its 3Q26 net profit of TWD330m (-48.0% QoQ, -5.7% YoY) also missed our estimate and the consensus by 39.6% and 47.8%, respectively. Its 3Q26 EPS finished at TWD0.84.

Demand recovery in Europe and China; a bright 2027. Giant sees gradual market recovery in Europe on new model launches and demand recovery in China. In the US, Giant continues to work towards having the WRO lifted, but will adjust production allocation to maximise the supply to meet demand in the US market. Its E-bike revenue accounted for 21% of 9M26 revenue, which we believe reflects the declining OEM segment. Giant aims for its e-bike shipments to decline by 1% YoY, from 516,000 units in 2025 to 510,000 in 2026, on weaker OE customer demand. For 2026, it guides for sales to decline by low-single-digit % YoY, with the gross margin improving to 21-23% (from 20-21%) and an operating margin of 1-3%. We lower our 2026-28E EPS by 5-30% after factoring in the 3Q26 results with more conservative operating-margin estimates on marketing expenses.

What we recommend: We reaffirm our Buy (1) call with an unchanged 12M TP of TWD121, still based on our 1-year forward EPS forecast with an unchanged target PER of 22x to reflect its improved earnings trajectory, and we look for a better year in 2027. Key downside risks: slower-than-expected e-bike penetration in the EU and macro/tariff uncertainties.

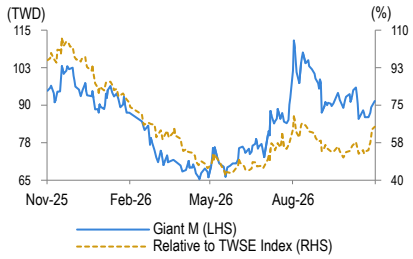
How we differ: Our 2026-28E EPS are 8-26% below the consensus, likely as our revenue and operating margin forecasts are more conservative.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	-	-	-
Net profit change	(29.7)	(5.2)	(10.5)
Core EPS (FD) change	(29.6)	(5.1)	(10.4)

Source: Daiwa forecasts

Share price performance



12-month range	65.30-111.50
Market cap (USDbn)	1.10
3m avg daily turnover (USDm)	7.26
Shares outstanding (m)	392
Major shareholder	Founder group (35.0%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	60,222	62,971	65,986
Operating profit (m)	1,626	2,676	3,233
Net profit (m)	1,015	2,138	2,562
Core EPS (fully-diluted)	2.593	5.463	6.545
EPS change (%)	40.9	110.7	19.8
Daiwa vs Cons. EPS (%)	(26.2)	(8.0)	(16.2)
PER (x)	35.2	16.7	14.0
Dividend yield (%)	1.7	3.6	4.3
DPS	1.6	3.3	3.9
PBR (x)	1.1	1.1	1.1
EV/EBITDA (x)	11.4	8.6	7.8
ROE (%)	3.0	6.5	8.0

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

Flash

Giant: revisions to revenue and earnings forecasts

	2026E			2027E			2028E		
(TWDm)	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	**60,222**	**60,222**	0.0%	**62,971**	**62,971**	0.0%	**65,986**	**65,986**	0.0%
Gross profit	**13,550**	**12,948**	4.7%	**14,295**	**13,854**	3.2%	**15,177**	**14,847**	2.2%
Gross-profit margin	*22.5%*	*21.5%*	1pp	*22.7%*	*22.0%*	0.7pp	*23.0%*	*22.5%*	0.5pp
Operating profit	**1,626**	**2,108**	-22.9%	**2,676**	**2,897**	-7.6%	**3,233**	**3,695**	-12.5%
Operating-profit margin	*2.7%*	*3.5%*	-0.8pp	*4.3%*	*4.6%*	-0.4pp	*4.9%*	*5.6%*	-0.7pp
Net profit	**1,015**	**1,443**	-29.7%	**2,138**	**2,257**	-5.2%	**2,562**	**2,864**	-10.5%
Net-profit margin	*1.7%*	*2.4%*	-0.7pp	*3.4%*	*3.6%*	-0.2pp	*3.9%*	*4.3%*	-0.5pp
Diluted EPS (TWD)	**2.59**	**3.68**	-29.6%	**5.46**	**5.76**	-5.1%	**6.55**	**7.30**	-10.4%

Source: Daiwa estimates and forecasts

Giant: 3Q26 results review

(TWDm)	Giant's 3Q26 results	Daiwa's forecast	Differ	Bloomberg consensus	Differ
Revenue	16,311	16,500	-1.1%	16,780	-2.8%
Gross profit	3,895	3,465	12.4%	3,823	1.9%
Operating profit	510	743	-31.3%	883	-42.2%
Profit before tax	522	827	-36.9%	953	-45.3%
Net profit	330	546	-39.6%	633	-47.8%
Basic EPS (TWD)	0.84	1.39	-39.4%	1.67	-49.3%
Margin					
Gross margin	23.9%	21.0%	2.9pp	22.8%	1.1pp
Operating margin	3.1%	4.5%	-1.4pp	5.3%	-2.1pp
Pre-tax margin	3.2%	5.0%	-1.8pp	5.7%	-2.5pp
Net margin	2.0%	3.3%	-1.3pp	3.8%	-1.7pp

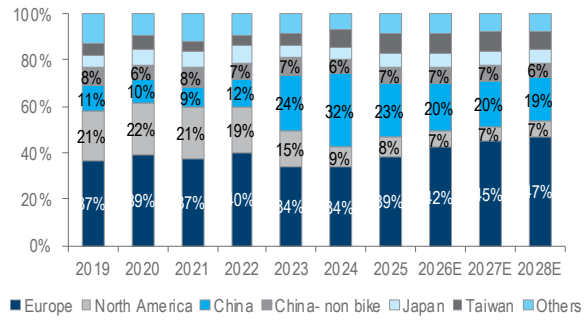
Sources: Company, Daiwa estimates, Bloomberg

Giant: quarterly P&L

	2026E				2027E						
(TWDm)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2026E	2027E	2028E
Revenue	12,524	16,665	16,311	14,722	13,000	17,200	17,100	15,671	60,222	62,971	65,986
Gross profit	2,459	4,040	3,895	3,157	2,860	3,956	3,933	3,546	13,550	14,295	15,177
Operating profit	(191)	1,000	510	307	260	774	855	787	1,626	2,676	3,233
Pre-tax profit	(171)	996	522	318	377	891	972	904	1,665	3,144	3,701
Net profit	(200)	635	330	249	224	614	676	624	1,015	2,138	2,562
Basic EPS (TWD)	(0.51)	1.62	0.84	0.64	0.57	1.57	1.73	1.60	2.60	5.47	6.55
Margin											
Gross margin	19.6%	24.2%	23.9%	21.4%	22.0%	23.0%	23.0%	22.6%	22.5%	22.7%	23.0%
Operating margin	-1.5%	6.0%	3.1%	2.1%	2.0%	4.5%	5.0%	5.0%	2.7%	4.3%	4.9%
Pre-tax margin	-1.4%	6.0%	3.2%	2.2%	2.9%	5.2%	5.7%	5.8%	2.8%	5.0%	5.6%
Net margin	-1.6%	3.8%	2.0%	1.7%	1.7%	3.6%	4.0%	4.0%	1.7%	3.4%	3.9%
YoY											
Revenue	-25.7%	5.8%	6.2%	19.8%	3.8%	3.2%	4.8%	6.4%	-0.1%	4.6%	4.8%
Gross profit	-18.0%	25.4%	18.2%	30.2%	16.3%	-2.1%	1.0%	12.3%	13.5%	5.5%	6.2%
Operating profit	n.m.	128.2%	28.9%	n.m.	n.m.	-22.6%	67.5%	156.7%	50.4%	64.6%	20.8%
Pre-tax profit	n.m.	178.1%	-10.3%	n.m.	n.m.	-10.5%	86.3%	184.3%	20.3%	88.8%	17.7%
Net profit	n.m.	234.3%	-5.7%	n.m.	n.m.	-3.2%	104.8%	150.3%	40.3%	110.8%	19.8%
QoQ											
Revenue	1.9%	33.1%	-2.1%	-9.7%	-11.7%	32.3%	-0.6%	-8.4%			
Gross profit	1.4%	64.3%	-3.6%	-18.9%	-9.4%	38.3%	-0.6%	-9.9%			
Operating profit	n.m.	n.m.	-49.0%	-39.9%	-15.2%	197.7%	10.5%	-7.9%			
Pre-tax profit	n.m.	n.m.	-47.6%	-39.0%	18.5%	136.4%	9.1%	-7.0%			
Net profit	n.m.	n.m.	-48.0%	-24.4%	-10.3%	174.6%	10.0%	-7.6%			

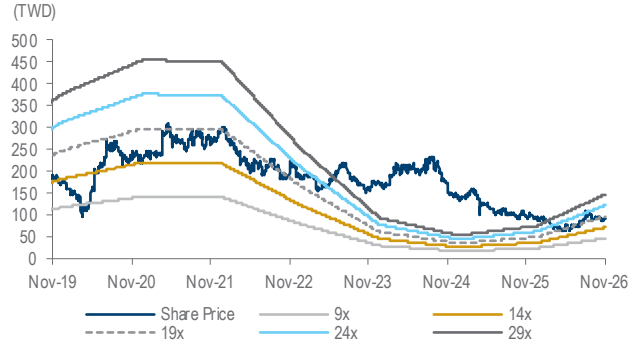
Source: Company, Daiwa estimates and forecasts

Giant: revenue breakdown by region



Source: Company, Daiwa estimates and forecasts

Giant: 1-year forward PER band



Source: Bloomberg, Daiwa estimates

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales to Europe YoY (%)	12.6	19.3	(29.1)	(7.7)	(2.8)	10.0	10.0	10.0
Sales to North America YoY (%)	14.0	2.2	(34.6)	(47.5)	(20.0)	(20.0)	5.0	5.0
Sales to Asia YoY (%)	20.3	21.5	15.3	7.4	(30.4)	(6.4)	0.0	0.0
E-bike shipment YoY (%)	15.6	10.8	(23.2)	(21.7)	6.9	(1.0)	7.0	7.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Europe	30,567	36,477	25,879	23,878	23,207	25,528	28,081	30,889
North America	17,530	17,921	11,728	6,151	4,921	3,937	4,134	4,340
Other Revenue	33,743	37,646	39,346	41,249	32,125	30,757	30,757	30,757
Total Revenue	**81,840**	**92,044**	**76,954**	**71,279**	**60,254**	**60,222**	**62,971**	**65,986**
Other income	0	0	0	0	0	0	0	0
COGS	(62,076)	(71,220)	(59,980)	(57,745)	(48,317)	(46,672)	(48,677)	(50,809)
SG&A	(10,014)	(11,378)	(10,809)	(10,251)	(9,532)	(10,900)	(10,548)	(10,822)
Other op.expenses	(1,041)	(1,532)	(1,455)	(1,424)	(1,324)	(1,024)	(1,071)	(1,122)
Operating profit	**8,709**	**7,914**	**4,709**	**1,858**	**1,081**	**1,626**	**2,676**	**3,233**
Net-interest inc./(exp.)	68	(101)	(496)	(443)	(292)	(179)	(202)	(202)
Assoc/forex/extraord./others	(49)	924	586	942	595	218	670	670
Pre-tax profit	**8,728**	**8,738**	**4,799**	**2,357**	**1,384**	**1,665**	**3,144**	**3,701**
Tax	(2,421)	(2,561)	(1,233)	(877)	(518)	(400)	(755)	(888)
Min. int./pref. div./others	(377)	(333)	(165)	(216)	(143)	(251)	(251)	(251)
Net profit (reported)	**5,930**	**5,844**	**3,401**	**1,264**	**723**	**1,015**	**2,138**	**2,562**
Net profit (adjusted)	**5,930**	**5,844**	**3,401**	**1,264**	**723**	**1,015**	**2,138**	**2,562**
EPS (reported)(TWD)	**15.811**	**15.508**	**8.676**	**3.224**	**1.845**	**2.597**	**5.471**	**6.554**
EPS (adjusted)(TWD)	**15.811**	**15.508**	**8.676**	**3.224**	**1.845**	**2.597**	**5.471**	**6.554**
EPS (adjusted fully-diluted)(TWD)	**15.727**	**15.078**	**8.336**	**3.104**	**1.841**	**2.593**	**5.463**	**6.545**
DPS (TWD)	**10.000**	**7.800**	**5.000**	**2.200**	**1.800**	**1.558**	**3.282**	**3.932**
EBIT	**8,709**	**7,914**	**4,709**	**1,858**	**1,081**	**1,626**	**2,676**	**3,233**
EBITDA	**10,656**	**10,058**	**7,132**	**4,394**	**3,635**	**3,452**	**4,577**	**5,208**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	8,728	8,738	4,799	2,357	1,384	1,665	3,144	3,701
Depreciation and amortisation	1,946	2,144	2,423	2,536	2,554	1,826	1,901	1,975
Tax paid	(2,421)	(2,561)	(1,233)	(877)	(518)	(400)	(755)	(888)
Change in working capital	(13,259)	(7,816)	4,651	8,012	7,633	(2,457)	(2,528)	(3,384)
Other operational CF items	46	7	(50)	122	95	1	1	1
Cash flow from operations	**(4,960)**	**512**	**10,590**	**12,149**	**11,148**	**636**	**1,763**	**1,405**
Capex	(2,093)	(2,472)	(1,660)	(1,409)	(1,631)	(1,446)	(1,446)	(1,446)
Net (acquisitions)/disposals	135	1,634	2,125	(3,007)	(170)	0	0	0
Other investing CF items	205	207	(497)	(1,044)	(140)	0	0	0
Cash flow from investing	**(1,752)**	**(631)**	**(32)**	**(5,460)**	**(1,940)**	**(1,446)**	**(1,446)**	**(1,446)**
Change in debt	8,924	1,276	(3,590)	(5,054)	(6,422)	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(3,001)	(3,751)	(3,058)	(1,960)	(994)	(706)	(609)	(1,283)
Other financing CF items	(1,149)	7,084	(533)	(818)	(3,415)	0	0	0
Cash flow from financing	**4,775**	**4,610**	**(7,181)**	**(7,832)**	**(10,831)**	**(706)**	**(609)**	**(1,283)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**(1,937)**	**4,491**	**3,377**	**(1,143)**	**(1,623)**	**(1,516)**	**(292)**	**(1,325)**
Free cash flow	(7,053)	(1,960)	8,930	10,740	9,517	(810)	317	(42)

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	10,932	13,968	15,897	14,219	13,021	11,505	11,213	9,888
Inventory	30,872	41,385	34,760	26,290	20,242	20,401	20,835	21,979
Accounts receivable	15,058	17,038	13,342	11,439	10,094	10,798	10,920	10,853
Other current assets	1,200	825	909	2,142	2,266	2,266	2,266	2,266
Total current assets	**58,062**	**73,217**	**64,908**	**54,090**	**45,623**	**44,970**	**45,234**	**44,986**
Fixed assets	12,182	13,092	13,102	12,685	12,348	11,733	11,032	10,257
Goodwill & intangibles	562	483	400	920	926	926	926	926
Other non-current assets	6,394	6,743	6,214	11,008	10,850	10,850	10,850	10,850
Total assets	**77,199**	**93,535**	**84,623**	**78,703**	**69,748**	**68,479**	**68,043**	**67,020**
Short-term debt	19,697	23,112	18,619	17,780	8,225	8,225	8,225	8,225
Accounts payable	18,328	20,875	15,282	15,703	15,157	14,661	15,036	15,185
Other current liabilities	2,425	3,235	2,864	1,230	1,293	1,293	1,293	1,293
Total current liabilities	**40,450**	**47,223**	**36,765**	**34,712**	**24,675**	**24,180**	**24,554**	**24,703**
Long-term debt	3,163	6,148	7,251	3,023	3,746	3,746	3,746	3,746
Other non-current liabilities	3,933	4,264	4,282	4,230	4,310	4,310	4,310	4,310
Total liabilities	**47,546**	**57,635**	**48,298**	**41,966**	**32,731**	**32,235**	**32,610**	**32,759**
Share capital	3,751	3,921	3,921	3,921	3,921	3,906	3,909	3,909
Reserves/R.E./others	23,725	29,435	29,761	29,835	30,141	29,382	28,569	27,398
Shareholders' equity	**27,476**	**33,356**	**33,681**	**33,755**	**34,062**	**33,289**	**32,478**	**31,306**
Minority interests	2,177	2,544	2,644	2,982	2,955	2,955	2,955	2,955
Total equity & liabilities	**77,199**	**93,535**	**84,623**	**78,703**	**69,748**	**68,479**	**68,043**	**67,020**
EV	49,940	53,671	48,452	45,400	37,739	39,255	39,548	40,872
Net debt/(cash)	**11,928**	**15,292**	**9,974**	**6,583**	**(1,050)**	**466**	**758**	**2,082**
BVPS (TWD)	**73.256**	**88.516**	**85.907**	**86.097**	**86.878**	**85.218**	**83.092**	**80.095**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	16.9	12.5	(16.4)	(7.4)	(15.5)	(0.1)	4.6	4.8
EBITDA (YoY)	23.5	(5.6)	(29.1)	(38.4)	(17.3)	(5.0)	32.6	13.8
Operating profit (YoY)	27.0	(9.1)	(40.5)	(60.5)	(41.8)	50.4	64.6	20.8
Net profit (YoY)	19.8	(1.5)	(41.8)	(62.8)	(42.8)	40.3	110.8	19.8
Core EPS (fully-diluted) (YoY)	19.9	(4.1)	(44.7)	(62.8)	(40.7)	40.9	110.7	19.8
Gross-profit margin	24.1	22.6	22.1	19.0	19.8	22.5	22.7	23.0
EBITDA margin	13.0	10.9	9.3	6.2	6.0	5.7	7.3	7.9
Operating-profit margin	10.6	8.6	6.1	2.6	1.8	2.7	4.3	4.9
Net profit margin	7.2	6.3	4.4	1.8	1.2	1.7	3.4	3.9
ROAE	22.5	19.2	10.1	3.7	2.1	3.0	6.5	8.0
ROAA	8.5	6.8	3.8	1.5	1.0	1.5	3.1	3.8
ROCE	18.4	13.5	7.4	3.1	2.0	3.3	5.6	6.9
ROIC	18.0	12.1	7.2	2.6	1.7	3.4	5.6	6.8
Net debt to equity	43.4	45.8	29.6	19.5	n.a.	1.4	2.3	6.7
Effective tax rate	27.7	29.3	25.7	37.2	37.4	24.0	24.0	24.0
Accounts receivable (days)	61.7	63.6	72.0	63.4	65.2	63.3	62.9	60.2
Current ratio (x)	1.4	1.6	1.8	1.6	1.8	1.9	1.8	1.8
Net interest cover (x)	n.a.	78.5	9.5	4.2	3.7	9.1	13.2	16.0
Net dividend payout	63.2	50.3	57.6	68.2	97.6	60.0	60.0	60.0
Free cash flow yield	n.a.	n.a.	24.9	30.0	26.6	n.a.	0.9	n.a.

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1972 and listed in 1994 on Taiwan's main board, Giant is the largest bicycle maker in Taiwan, with an annual capacity of c.5m bicycles. In 2025, Asia accounted for 57% of its revenue, followed by Europe (33%) and America (7%). Around 74% of its 2025 revenue came from OBM (Giant, Liv, momentum) brands and 26% from OEM/ODM (Trek, Scott and Colnago) brands.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	The CEO and Chairperson are not the same individual. Led by the Liu family, there are 11 members on the board. The founder and former Chairman is now a director, with his niece, Mrs. Tu, leading Giant. We view Mrs. Tu's leadership to be strong, as she is well-recognised by the former Chairman and the board for her capabilities, and she is one of the few female chairpersons to lead a Taiwanese company.
	Capital management	2	Giant has maintained its dividend payout ratio between 50% and 100% over the past decade , which we believe to be reasonable considering its global leadership status and expansion needs.
	Related party & transaction	2	Revenue from related-party transactions accounted for 58-62% of total revenue over 2019-25, with sales mostly from its OBM (ASP varies with products/markets). We observed no suspicious activity.
S	Product quality & safety	1	According to Giant's 2023 ESG report, Giant as the global OEM/OBM leader in the bicycle industry, product quality and safety are the top priority. We see ongoing R&D expenses and relevant investment in new models and note that Giant has introduced its "Right Ride" system to assist customers seeking suitable bike options.
S	Supply chain management	1	Giant has developed its Giant production management system that diversifies its capacity globally and utilises production resources fully to lower political or regional risk. As Giant has control over its material sourcing, design process and manufacturing/OEM, we believe it has solid supply chain management capabilities that allow for better cost control than peers.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 7 Aug 2026
Source: Daiwa, Company

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